

Investment Memo - HDFC Bank

Date: 30th June 2026

1. Company Overview

HDFC Bank is India's largest private sector bank, providing retail banking, corporate banking, treasury, and digital financial services across the country. The bank has a market capitalization of approximately ₹12,28,795 crore, making it one of the most valuable financial institutions in India. In July 2023, HDFC Bank completed its merger with parent company HDFC Ltd, a major housing finance company, which significantly expanded its loan book and strengthened its position as the leading private bank in India.

2. Financial Highlights

Metric	FY23	FY24	FY25
Total Revenue	₹1,92,800 cr	₹3,07,582 cr	₹3,46,149 cr
PAT	₹44,109 cr	₹60,812 cr	₹67,347 cr
ROE	15.83%	13.92%	13.55%
NIM	4.1%	3.53%	3.48%

3. Valuation

Using a 5-year FCFE-based DCF model with a Cost of Equity of 14.23%, my analysis implies an intrinsic value of ₹165 per share. This suggests the stock may be overvalued at its current market price of ₹775.

I also built an alternate valuation using an Excess Return method, adjusted with the bank's Sustainable Growth Rate, which gives an intrinsic value of ₹244 per share. The difference between ₹165 and ₹244 comes from the different assumptions each method makes about growth and reinvestment, but both estimates fall well below the current market price, which strengthens the overall conclusion rather than weakening it.

On a relative basis, HDFC Bank trades at a P/E of 16.2x compared to a peer average of 18.37x, a discount to other major private banks. This gap is largely explained by HDFC's lower Net Interest Margin (3.38%) compared to the peer average (4.20%), even though HDFC's ROE is actually slightly better than the peer average. This reinforces the conservative valuation suggested by the DCF.

4. Recommendation

Based on my DCF and comparable company analysis, HDFC Bank appears to be trading at a premium to its intrinsic value, suggesting a HOLD rather than a BUY at current levels for long-term investors. The gap between intrinsic value and market price likely reflects post-merger integration challenges affecting Net Interest Margin, which may normalize as the bank fully digests the HDFC Ltd merger over the coming years.

5. Key Risks

- NPA Risk: Asset quality could deteriorate if economic conditions weaken, increasing provisions and pressuring profitability.
- Interest Rate Risk: Future RBI policy rate changes could further compress Net Interest Margin.
- Merger Integration Risk: Continued margin pressure is likely as HDFC Ltd's loan book is fully absorbed into the bank's balance sheet.